

Warehouse Inventory Control SOP

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Department: Warehouse

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Purpose

This standard operating procedure defines how warehouse teams receive stock, count inventory, classify stock status, handle low-stock risk, investigate discrepancies, and coordinate with the purchasing and customer operations teams. The procedure exists to keep inventory data reliable enough to support replenishment decisions and customer promises.

Inventory accuracy is a business-critical control at TraceStock AI. Replenishment, availability promises, and branch performance all depend on warehouse transactions being recorded quickly and consistently. Staff should treat inventory events as operational records, not after-the-fact notes.

Scope

This SOP applies to all warehouse locations, including central distribution warehouses, regional warehouses, retail backrooms, and temporary overflow storage. It applies to finished goods, returned goods, quarantined goods, damaged goods, and reserved stock.

The procedure does not replace legal compliance requirements for regulated products, hazardous goods, or controlled items. When compliance-specific procedures exist, those procedures take priority.

Inventory Status Definitions

Available stock is inventory that is physically present, sellable, and eligible for allocation to customer orders. Reserved stock is inventory committed to existing orders, internal transfers, samples, or approved business holds. Quarantined stock is inventory that must not be sold until inspection, compliance review, quality review, or management release is complete.

Damaged stock is inventory with visible damage, suspected damage, incomplete packaging, missing accessories, or quality concerns. Defective stock is inventory that failed functional inspection or was returned due to product failure. In-transit stock is inventory that has shipped from a supplier or warehouse but has not yet been received into the destination warehouse.

Only available stock should be used when answering whether a product can be sold immediately. Reserved, quarantined, damaged, defective, and in-transit quantities may be useful for planning but should not be represented as immediately sellable.

Receiving Procedure

Inbound shipments must be checked against purchase order or transfer documentation before stock is made available. Receiving staff should verify supplier, shipment reference, SKU, quantity, visible damage, and packaging condition.

If the received quantity matches the expected quantity and no damage is visible, stock may be received into available inventory after SKU validation. If there is a mismatch, staff must record the actual quantity and open a receiving discrepancy note. The discrepancy note should include expected quantity, received quantity, shipment reference, supplier or origin warehouse, and any visible evidence.

Damaged cartons should be photographed when possible. Staff should separate damaged units from clean units and avoid receiving damaged units into available inventory. When only outer packaging is damaged and inner product packaging is intact, a supervisor may approve available inventory after inspection.

Late receiving updates create inaccurate low-stock alerts. All normal inbound shipments should be recorded within one business day of physical arrival. Critical replenishment shipments should be recorded within four business hours.

Putaway Procedure

After receiving, products must be placed in the correct bin, shelf, zone, or staging area. High-velocity products should be placed in pick-efficient locations when capacity allows. Heavy or fragile products must follow handling requirements defined by warehouse safety guidance.

The system location should match the physical location before the item becomes available for picking. If the warehouse uses temporary staging, the staging location must be recorded. Staff should not move products between locations without updating the system or following the batch move process.

Cycle Counting

Cycle counts are used to maintain inventory accuracy without shutting down operations. High-value products, high-velocity products, and products with frequent discrepancies should be counted more often than slow-moving products.

Recommended count frequency:

- A-class products: weekly.
- B-class products: monthly.
- C-class products: quarterly.
- Products with open discrepancy investigations: as directed by supervisor.
- Products with stockout risk or negative availability: immediate count.

Counts should be blind where possible. Staff should count physical units before checking system quantity. If the count differs from system quantity, a recount by another staff member is required before adjustment.

Adjustment Rules

Inventory adjustments require a reason code. Accepted reason codes include cycle count correction, receiving correction, pick short, found stock, damaged stock, return inspection, supplier shortage, internal transfer correction, and system migration correction.

Adjustments above 20 units or above 500 EUR inventory value require supervisor approval. Repeated adjustments for the same SKU and warehouse should trigger a root-cause investigation. Common causes include mispicks, unrecorded transfers, receiving errors, damaged stock not moved out of available inventory, duplicate SKUs, barcode errors, and theft.

Staff must not use inventory adjustment as a shortcut for normal receiving, return processing, order cancellation, or warehouse transfer workflows.

Low-Stock Handling

A product is considered low stock when available stock is less than or equal to its reorder point. Low-stock alerts should be reviewed daily for active SKUs. The warehouse team should verify low-stock counts for critical products before purchasing decisions are finalized.

When low-stock risk is detected, staff should check available quantity, reserved quantity, inbound quantity, recent sales velocity, pending returns, and known supplier lead time. If the product is high velocity and supplier lead time is longer than seven days, the risk should be escalated to purchasing.

If stock is physically available but not visible in the system, staff must correct the inventory record before customer-facing teams promise availability. If stock is visible in the system but cannot be found physically, the SKU should be placed on temporary allocation hold until the discrepancy is resolved.

Stockout Prevention

The warehouse team should communicate early when operational signals suggest stockout risk. Important signals include failed picks, repeated substitution requests, backorder growth, delayed inbound shipments, supplier short shipments, and cycle counts below system quantity.

Products with strong sales velocity and stock below reorder point should receive priority receiving and putaway when replenishment arrives. If multiple urgent shipments arrive at the same time, priority should be based on customer impact, margin, committed orders, and supplier lead time.

Returns Handling

Returned items must not be placed into available inventory until inspected. The return condition should be recorded as unopened, opened-good, damaged, defective, or unsellable. Unopened products may return to available stock after visual inspection. Opened-good products require accessory and packaging checks. Damaged, defective, and unsellable products must be routed to quarantine, supplier claim, repair, refurbishment, or write-off.

When return volume is unusually high for a SKU, warehouse staff should report the pattern to customer operations and product management. A return rate above 8 percent over a 30-day period should trigger review when at least 20 units were sold.

Picking Accuracy

Pickers must verify SKU, quantity, and location before confirming a pick. Barcode scanning should be used when available. Manual confirmation should be used only when scanning is unavailable and must follow the local exception procedure.

Mispicks should be recorded as operational incidents. Repeated mispicks for the same SKU may indicate confusing packaging, poor bin labeling, duplicate locations, or product master data issues.

Quarantine Procedure

Quarantined inventory must be physically separated from available inventory. The quarantine location should be clearly marked. Quarantined goods should include a reason code and review owner. No quarantined item may be shipped, transferred, or returned to available stock without documented release.

Common quarantine reasons include suspected defect, damaged packaging, regulatory review, supplier dispute, fraud investigation, recalled product, and unknown provenance.

Reconciliation and Reporting

Warehouse managers should review inventory discrepancy reports weekly. The review should include high-value adjustments, repeated discrepancies by SKU, negative inventory events, stockout incidents, receiving discrepancies, and quarantine aging.

Discrepancies older than seven business days should be escalated. Quarantined stock older than 30 days should be reviewed for disposal, supplier claim, refurbishment, or release.

Goods-In Procedure in Detail

Receiving is where inventory accuracy is won or lost. An error introduced here propagates into every downstream promise.

- Confirm the delivery against an expected purchase order before unloading.

Deliveries with no matching order are held and Purchasing is contacted.

- Check the outer packaging for damage before signing. Damage noted on the

carrier's documentation at the point of receipt is recoverable; damage discovered afterwards frequently is not.

- Count the units received. Do not accept the despatch note quantity as the

received quantity without counting.

- Inspect against the sampling standard for the category.
- Record the receipt in the system on the same shift, not at the end of the day.
- Put away to the recorded location.

Where the count differs from the despatch note, record what was actually received. Recording the expected figure to save time creates a discrepancy that someone else will spend far longer investigating.

Inspection Sampling

Category	Sample rate	Full inspection triggered by
Smartphones, Laptops	10 percent	Any failure in sample
Headphones	5 percent	Two failures in sample
Coffee Machines, Office Chairs	5 percent	Any visible transit damage
Air Conditioners, Space Heaters	5 percent	Any refrigerant or element concern
Rain Jackets, Running Shoes	2 percent	Any sizing or labelling error
Sunscreen	2 percent, plus expiry on every pallet	Any date under 18 months

A failed sample escalates to full inspection of the delivery. The delivery is not put away while under full inspection, because separating good from suspect stock after put-away is far harder than holding it in one place.

Picking Accuracy

Picking errors surface as customer returns, which cost several times what catching them at the pick face costs.

- Pick against the pick list, never from memory, including for familiar products
- Scan at the point of pick where scanning is available
- Verify variant attributes, particularly size and colour, which account for the

majority of picking errors in footwear and apparel

- Where a pick location is empty but the system shows stock, report it rather

than substituting a similar item

Pick accuracy is measured per picker and reviewed monthly. The measure exists to identify training needs and process problems, not to rank individuals.

Cycle Counting Schedule

Counting a rotating subset continuously is more accurate than an annual full count, because errors are found while their cause is still traceable.

Value class	Share of stock value	Count frequency
A: high value	Top 20 percent of SKUs	Monthly
B: medium value	Next 30 percent	Quarterly
C: low value	Remaining 50 percent	Twice yearly

Additional counts are triggered by a negative stock figure, a picking failure where the system showed stock, a customer return that cannot be matched to a dispatch, and any location involved in a previous discrepancy.

Damage and Write-Off

Stock damaged in the warehouse is recorded immediately, with the quantity, the cause, and the person recording it. Damage discovered without a known cause is still recorded, with the cause noted as unknown.

Write-off value	Approver
Under 250 EUR	Shift supervisor
250 to 2,000 EUR	Warehouse Manager
Above 2,000 EUR	Head of Warehouse Operations

Write-offs are reviewed monthly for pattern. A concentration of damage at one location, on one shift, or in one product usually indicates a handling or storage problem that is cheaper to fix than to absorb.

Stock Status Definitions

Every unit is in exactly one status, and the status determines what may be done with it.

Status	Meaning	Available to sell
Sellable	Inspected, undamaged, correctly located	Yes
Reserved	Allocated to an order or collection	No
Quarantined	Held pending quality decision	No
Damaged	Confirmed damaged, pending write-off	No
In transit	Dispatched from another site, not yet received	No
Awaiting inspection	Received but not yet inspected	No

Only sellable stock may be promised to a customer. Reporting total stock on hand as availability is the single most common cause of a promise the warehouse cannot meet.

Housekeeping and Safety

Aisles are kept clear, and pallets are not stored in walkways even briefly. Racking damage is reported immediately and the bay taken out of use until inspected, because a damaged upright can fail without further warning.

Heavy items are stored at waist height where possible, with the heaviest at the lowest accessible level rather than at height. Manual handling training is required before any picking role.

Spillages, particularly of liquids such as sunscreen, are contained and cleaned immediately, and the affected stock is quarantined rather than wiped and returned to the pick face.

Systems and Records

Every physical movement has a corresponding system record made on the same shift. The physical and system positions are expected to match at the end of every shift, and a mismatch is investigated rather than carried forward.

Where the system is unavailable, movements are recorded on paper with the time, the product, the quantity, and the person, and entered as soon as the system returns. Working without any record because the system is down is not acceptable; the record is the control, not the software.

Document Control

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